Lecture 1

Intro + Thinking Development

Development Economics

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Readings Today

- TODAY: Introduction to the course + Thinking Development

- Introduction - Course outline
- Thinking Development: Dwight H. Perkins, Steven Radelet, David L. Lindauer and Steven A. Block (PRLB), 2013. "Economics of Development", 7th edition, W.W. Norton & Company Chapters 1-2.

- **Development Thinking Debate – Washington Consensus**
  - Spence (2021) - Economy

Course content

- Our understanding of economic development is constantly evolving. Economic **theories** and **policies** are adjusted, augmented and replaced as we gain new insights from observing the World. However, there is often **more than one interpretation** of observed outcomes. Therefore, it is important to have knowledge of both the facts and economists' diverse interpretations of these facts.
- The course "Development Economics" gives an overview of the **level and changes of socio-economic conditions**, such **as income, poverty, education and health** in the global south.
- These conditions are put in perspective in presentations and discussions of the **major trends in classical and contemporary thinking** about economic development.
- General **textbook** material and **selected articles** on the subject form the core of the readings.
- The range of topics covered include theories of development, [micro- and] macroeconomic issues and economic analysis as well as key policy issues and recommendations.

Lectures and classes

- We meet Mondays at 12.15-15.00 in Goth. Aud. 1
- The last 45 minutes are for student work (discussions, writing) on review questions, covering the material from todays lecture.
- The review questions from the 12-13 sessions will give a pool of questions for problem A, of which 3 to 4 is selected for the actual exam and, in many cases, ideas for answering exam problems B and C.
- The first 2x45 minutes are for classical lectures, covering the topics indicated in the schedule.

Time Table

Theme 1: Economic Growth, Distribution and Development

Feb 2	JR	***Thinking Development*** Readings: PRLB Ch.1&2; Spence (2021).
Feb. 9	JR	***Poverty and Inequality*** Readings: PRLB Ch.6 Milanovic (2024); Ravallion (2005); Ravallion (2020).
Feb. 16	JR	***Growth and Development Accounting*** Readings: PRLB Ch.3&4; Hsieh and Klenow (2010); Patel *et al.* (2021).

Theme 2: Proximate causes of economic development

Feb. 23	JR	***Human Resources: Population and Migration*** Readings: PRLB Ch.7; Barro and Sala-i-Martin (2004) Ch.9; Clemens (2011 + 2022)
Mar. 2	JR	***Human Resources: Education and Health*** Readings: PRLB Ch.8 & 9; Kremer and Holla (2009); Lleras-Muney et al. (2025)
Mar. 9	JR	***Capital Resources: Savings, Investments, and FDI*** Readings: PRLB Ch.10; Gourinchas and Jeanne (2013).
Mar. 16	JR	***Technical Resources: Technology/Efficiency/Resource Misallocation*** Readings: Hsieh and Klenow (2009); Hsieh and Olken (2014).

Theme 3: The role of policy and current debates

Mar. 23	GUEST	***Foreign aid*** Readings: PRLB Ch.14; Dalgaard and Hansen (2010); Dreher *et al.* (2021).
Apr. 13	JR	***Agriculture and Structural Transformation*** Readings: PRLB Ch.16+17; Deininger and Byerlee (2012); Diao et al (2019).
Apr. 20	JR	***Trade*** Readings: PRLB Ch.18+19 (Cursory Ch.15); Hanson (2012); Atkin and Khandelwal (2020).
May 4	JR	***Conflict*** Readings: PRLB Ch.20; Blattman and Miguel (2010); Burke *et al.* (2015); Mohr and Trebesch (2025)
May 11	JR	***Climate (Decopupling)*** Readings: PRLB Ch.20; Richardson et al. (2023); Hickel and Kallis (2020); Kallis et al (2018)
May 18	JR	***Conclusion and wrap-up lecture (Q&A)***

Examination

Credit	7.5 ECTS
Type of assessment	Written examination, **3 hours under invigilation** as an ITX-exam in the exam venues of the university. The exam assignment is given in English and must be answered in English.
Aid	**No aids allowed** at the written ITX-exam.
Marking scale	7-point grading scale
Exam period	The exact date and time of the exam will be informed in the Self-Service at KUnet.
Re-exam	Written reexam if enough students If few students register, it might change to 20 min. oral examination without preparation time. No aids allowed during the examination.

Something about my approach to teaching and slides

- My teaching is aimed at
  - Providing you with memory knots
  - Updating the book and showing you (part of) the world of interesting new results
  - Explaining (possibly) difficult parts of the syllabus
- I do not cover all relevant parts of the syllabus, because I expect you are capable of reading and understanding much of it yourself

- My slides are assisting my lecture
  - They are not written as a compendium
  - They cannot replace any of the assigned readings
  - You should download the slides and annotate them as you wish

What do we mean by Development

- When defining economic development, Perkins et al. refer to the Nobel Laurate Amartya Sen and his capability approach
- Sen's Capability Approach is about **functionings, beings and doings**

- There are 3 **core values** of Development
  - Self-Esteem: To Be a Person
  - Freedom from Servitude: To Be Able to Choose
  - Sustenance: The Ability to Meet Basic Needs

How is this related to economic theory?

- And there are 3 **objectives** of Development
  - Increase availability of life-sustaining goods
  - Raise levels of living
  - Expand range of economic and social choices

Amartya Sen's book "Development as freedom" is an excellent read!

Instrumental Roles of Freedom

- Some “freedoms” are not part of the core values, but they are instrumental for the core values.
- Instrumental freedoms directly enhance the capabilities of people, but they also supplement one another, and can reinforce one another.

5 important instrumental freedoms:

1. Political freedom
2. Economic facilities
3. Social opportunities
4. Transparency guarantees
5. Protective security

Measuring Development

The 2030 Agenda for Sustainable Development, adopted by all United Nations Member States in 2015, provides a shared blueprint for peace and prosperity for people and the planet, now and into the future.

At its heart are the **17 Sustainable Development Goals (SDGs)**, which are an urgent call for action by all countries - developed and developing - in a global partnership.

They recognize that ending poverty and other deprivations must go hand-in-hand with strategies that improve health and education, reduce inequality, and spur economic growth – all while tackling climate change and working to preserve our oceans and forests.

SUSTAINABLE DEVELOPMENT GOALS

See: https://sdg-tracker.org/ for progress updates

17 goals; 169 targets

Economic Development – The Topics

- Development economics has always been concerned with "old-fashioned" problems:
  - Living standards; well-being, misery and poverty, or the quality of life.
- There is clearly a close link between economic development and economic growth, although the relation between GDP (or GNI) growth and the quality of life is not simple
  - GDP growth is not a sufficient condition for improving mass living standards
- The distribution of income has been important for development economists.
- Externalities, market failures and non-marketability are also important issues in development economics.

Classifying Countries: An Alphabet Soup

How do we describe the countries covered by "Development Economics" and "Development Studies"

1. Third World Countries (Alfred Sauvy in L'Observateur in 1952)
2. Industrialized, Newly Industrialized (NIC), Unindustrialized Countries
3. Developing Countries, Emerging Economies, Developed Countries
4. Global North, Global South

- The UN-Agencies use broad classifications "Developed countries/regions" and "Developing countries/regions"
- In addition there are special groupings
  - LDCs: Least developed countries
  - LLDCs: Landlocked developing countries
  - SIDS: Small islands developing States
- The World Bank use income brackets as classifiers
  - The income brackets are based on GNI per capita

World Bank Country Groups

TABLE 1-1 Classification of World Economies, 2010

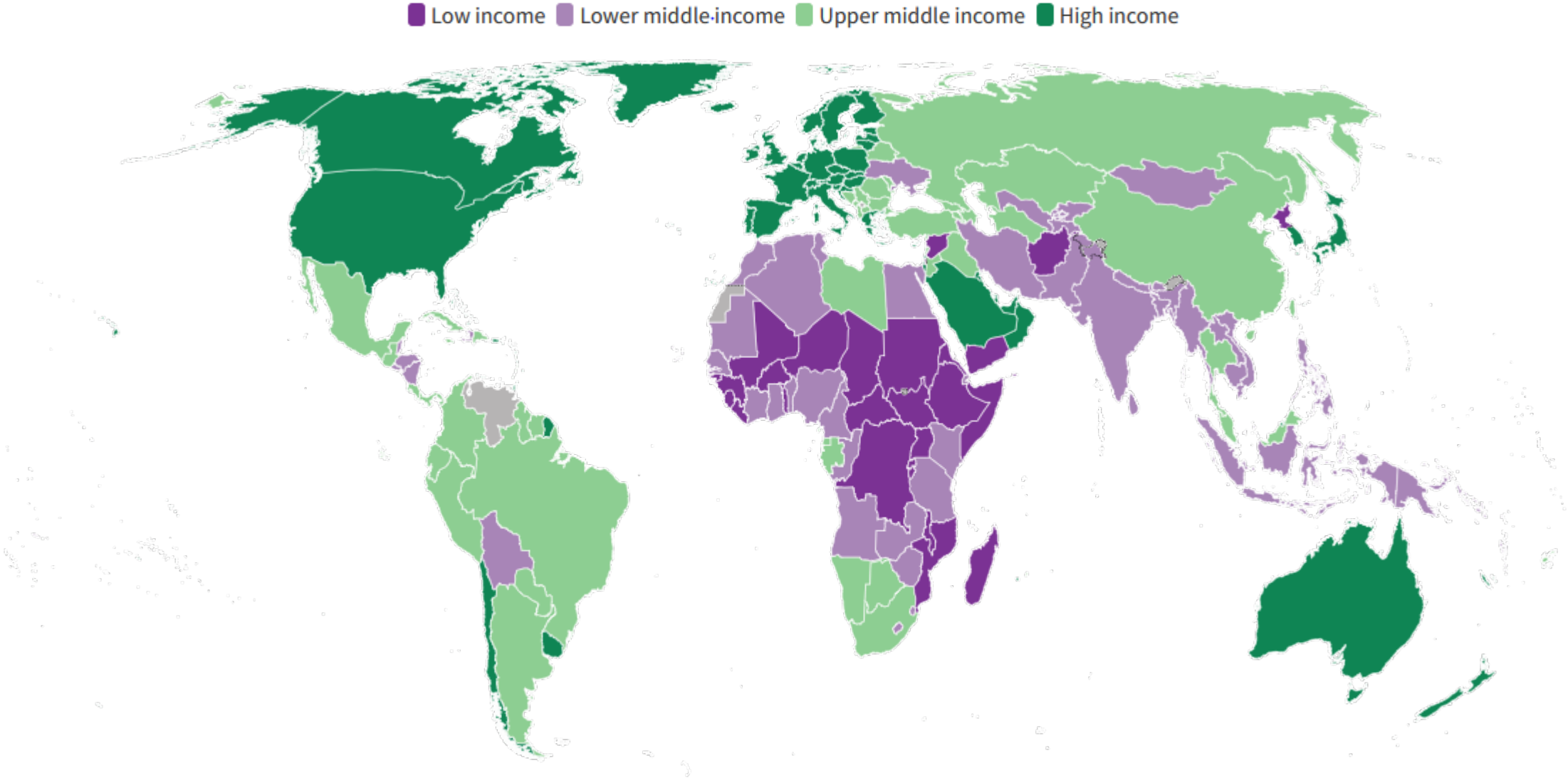
COUNTRY CLASSIFICATION	GNI PER CAPITA* (US$)	COUNTRIES† (NO.)	POPULATION IN MILLIONS (% OF WORLD TOTAL)	AVERAGE GNI PER CAPITA‡ (US$, PPP)	REGIONAL EXAMPLES§
Low-income	≤ $1,005	35	817 (12%)	$1,247	Ethiopia, Bangladesh, Cambodia, Haiti, Tajikistan
Lower-middle-income	$1,006–3,975	57	2,466 (36%)	$3,701	Senegal, Sri Lanka, Philippines, Ecuador, Jordan, Ukraine
Upper-middle-income	$3,976–12,275	54	2,449 (36%)	$9,904	Gabon, Malaysia, Brazil, Iran, Romania
High-income	>$12,275	70	1,123 (16%)	$37,183	Australia, France, Japan, Norway, Saudi Arabia, Taiwan, United States
World**	$9,097	216	6,855 (100%)	$11,058	

*Gross national income (GNI) per capita expressed in terms of current market exchange rates.
†Countries with populations of 30,000 or more people are included.
‡Average GNI per capita by income group in terms of current purchasing power parity (PPP).
§For the low- and middle-income groups, the examples are listed by World Bank geographical regions in the following order: Sub-Saharan Africa, South Asia, East Asia and Pacific, Latin America and the Caribbean, Middle East and North Africa, and Europe and Central Asia.
**World GNI per capita values are based on the population weighted average of all 216 countries.

Source: World Bank, "World Development Indicators," http://databank.worldbank.org.

- For the current fiscal year, the country groups are based on the intervals (USD in 2020):
  - Low-income: < $1,045
  - Lower middle-income: $1,046-$4,095
  - Upper middle-income: $4,096-$12,695
  - High-income: > $12,696
- The grouping is used when the WB sets conditions for loans

The World by Income (World Bank Classification)



https://datatopics.worldbank.org/world-development-indicators/the-world-by-income-and-region.html

GDP or GNI as measures of Development

Measurement Issues

- Non-market is not (fully) counted in GDP
  - If home production relative to market exchange declines during development then "economic well-being" is underestimated by GDP
- Unreported income from self-employment is not (fully) counted in GDP
  - If the informal sector is relatively larger in poorer countries then the "economic well-being" is under estimated by GDP

Conceptual Issues

- GDP does not take the main "freedoms" into account
  - Political freedoms, Social opportunities, Transparency guarantees, Protective security
- GDP may decline if leisure expands (reduced market participation)
- GDP has no information about the distribution of income and wealth

The Problem of Global Comparisons: The Purchasing Power Parity

- When we travel around the globe, we are often chilled by the fact that we get so much for so little, or the reverse when you arrive in Denmark: Goods are much cheaper in, say, [insert country] than in Denmark
- This is a major problem in cross-country comparisons: Exchange rates are not measures of purchasing power. For this we need true Purchasing Power Parity (PPP) figures
- **A PPP is defined as the number of currency units required to purchase the amount of goods and services equivalent to what can be bought with one unit of the currency of the base country**.
- As for any index number calculation two types of data are required to compute PPPs: (i) *prices of comparable and representative items* and (ii) *expenditure weights*

A Simple Exchange Rate – PPP Example: 2 Goods x 2 Countries

TABLE 2-1 Market Exchange Rate Versus Purchasing Power Parity Methods of Converting GDP

	UNITED STATES			INDIA		
	QUANTITY	PRICE (US$)	VALUE OF OUTPUT (BILLION US$)	QUANTITY	PRICE (RUPEES)	VALUE OF OUTPUT (BILLION RUPEES)
Steel (million tons)	200	1,000 per ton	200	25	50,000 per ton	1,250
Retail sales personnel (millions)	2	20,000 per person per year	40	4	60,000 per person per year	240
Total GDP (local currency, billions)			240			1,490

Market exchange rate based on steel prices = Rs 50,000/$1,000 or Rs 50 = US$1.

1. India's gross domestic product (GDP) in U.S. dollars calculated by using the official exchange rate: Rs 1,490 billion/Rs 50 = US$29.8 billion.

2. India's GDP in U.S. dollars calculated by using U.S. prices for each individual product or service and applying that price to India's quantities (that is, using purchasing power parity [PPP]):
   Steel: 25 million tons × $1,000/ton = $25 billion
   Retail sales personnel: 4 million people × $20,000/person = $80 billion
   GDP: $25 billion + $80 billion = $105 billion

3. Ratio of PPP calculation of India's GDP to official exchange rate calculation: $105 billion/$29.8 billion = 3.5

Key Learning Outcomes from the first PRLB chapters

- Account for the fundamental distinction between economic development and economic growth
- Identify and describe the relevant Sustainable Development Goals (replacing the MDGs and the HDI)
- Account for the use of GDP and GNI in assessing the level and growth of income in countries across the world
- Account for the international comparisons using (ICP) PPP-conversion factors
- Identify, describe and assess uneven process of growth and development across countries. (This is going to be a key theme in most lectures).

Development Thinking Debate – Washington Consensus

- Washington Consensus (first suggested by Williamson and then adjusted by Rodrik) was shorthand for a list of reforms.
- "Washington Consensus" - 2 central prescriptions:
  - Maintain a secure and stable macroeconomic regime by keeping the exchange rate competitive, the budget deficit low, the tax base broad.
  - Improve markets by liberalizing foreign trade, abolishing restrictions on inward foreign direct investment, eliminating preferential interest rates, privatizing public enterprises, and protecting private property.
- **Conclusion**: Market liberalization will lead to higher rates of growth and lower poverty. Reforms might impose short-term pain, but in the long term, reformers would achieve sustained growth and development.
- BUT – was the above actually the intention of the initial "white paper"?

The "Wade" WC view

There are three main problems with Washington Consensus

- Prescriptions did not emerge not out of a record of what had been shown to work.
  - Prescriptions based on "basic" economic theory (Neoclassical economics).
- Focused on the "market".
  - Prescriptions ignore the task of building the capacity of industries and firms, including the capacity to compete in international trade. Assumption: No "serious" market failures can be solved by state intervention.
- Prescriptions are couched as valid for countries at all stages of development.
  - Ignore the negative "late development effect": Countries which begin to industrialize when other countries are already highly developed have to use different policies and institutional arrangements to those used by earlier developers to be "competitive" (POWER).
  - Critique assumes that this negative "late development effect" dominates advantages of coming late (such as better and cheaper access to more advanced technologies already used elsewhere).

WC Background

- Coming from a perceived failure of "Third World Developmentalism"
  - "Free trade doomed poor countries to perpetually supplying raw materials or low value-added products to the international economy - that is, to perpetual underdevelopment. The solution was for these countries to nurture domestic industries, protecting them from foreign competition through trade barriers until they could compete on international markets". **Infant-industry protection strategy**.
- Two forces led to the demise of "Third World Developmentalism"
  - Radical change in the "leading" theoretical approaches within economics. Move away from the postwar Keynesian consensus, which had been open to diversity of policies and theoretical approaches, toward orthodox neoclassical ideas.
  - Realignments in the global political economy diminished the bargaining power of Third World governments.
  - I believe the second reason played the larger role ☺

The political economy of WC

- WC should be seen as a coordinated campaign of international bureaucracies, exerting their new-found power to promote radical international political changes.
  - The leading engineer of this organizational initiative was the US enabled by a system that awarded higher voting shares to larger economies.
  - **Baker Plan** - Financial aid to indebted governments would be used to incentivize market-liberalizing reforms. The main vehicle for achieving this was **conditionality**, the provision of financial resources to governments in exchange for the adoption of particular policies.
  - World Bank publications moved away from discussions of poverty and toward discourse around the virtues of **market liberalization**.
- The WC was not about "economic theory" but a **policy paradigm**.
- Important to consider WC as a projection of U.S. **power**.

WC in practice

- World Bank reorganized its lending around comprehensive plans for reforming national economies and channeled more of its resources to **policy-conditional** "**structural adjustment**" loans.
- **Speed of reform** was the most important.
  - Important to introduce as many reforms as necessary to surpass a supposed "point of no return" at which market-liberalizing policies would create their own self-enforcing dynamics and a return to the old ways would no longer be feasible.
- When the first round of reforms failed to produce the desired growth (to the surprise of no one), a modified conventional wisdom just prevailed. **The goal was more political alignment than development**.
  - Are China's current goals in Africa any different?

WC – the actual "white" paper

- Theoretically the suggested WC reforms "…make perfectly good sense" (not only from an neoclassical economic point of view).
- WC was **never intended as a fully elaborated plan**, a growth strategy, or a model of development.
- WC was not a statement of either **necessary** or **sufficient** conditions for growth and development.
  - All (academic) economists acknowledge that growth strategies are specific to particular countries and time.
  - A **one-size-fits all** policy (as the implemented WC) has never been supported academically: Across countries, they may be common elements that promote growth and reduce poverty, but there are many idiosyncratic elements too. The standardizing of WC was a **bureaucratic practice**.
  - **WC has been misused**, both by proponents and those rebelling against it.

Common elements of sustained growth experiences

- Economists look for patterns of "…common elements of sustained growth experiences". 6 common elements were identified:
  - Macroeconomic stability
  - High levels of investment and saving
  - Good leadership and governance
  - Success in exploiting the international market for **technology/knowledge** (facilitating environments for spillovers … specifically my main area of research)
  - Diversified outward orientation (good at "creating" comparative advantages and advancing **economic complexity** … we will return to this in detail in a later lecture)
    - Spence (2021): "As far as I know, there are no cases of sustained relatively high growth that are not export- and trade-enabled".
  - Allowing "the market" to <u>play a role</u> in resource allocation. Role of the "right" incentives.
  - Managing the distributional aspects of growth patterns to put boundaries on **inequality** in various dimensions.

Missing elements or misinterpretations of WC

- WC under-emphasized the role knowledge transfers and the channels through which these occur.
  - The role of domestic conditions and of (public) investments that facilitate absorption and diffusion of knowledge and technology was not clearly specified (if at all).
- Close connection between **structural transformation** and **economic growth**
  - Structural change is not a side-effect of growth, but a key element in growth dynamics (issues of causality not well acknowledged in WC). And public sector investment is an essential element of growth and development dynamics.
  - Relying on the private sector to facilitate structural change often fails. Public sector engagement in human capital development, infrastructure, technology, public goods provision, urbanization, migration policies, and social security systems is critical.
- Non-inclusive growth patterns generally fail (the role of tax and redistribution policies may have been under-emphasized in WC).

The East-Asian case and WC

- Structural transformation and supporting policies are central feature of any development strategy discussion.
  - Development policy in Asia tended to take a more expansive and flexible view of the role of government.
- Asia: Gradual **"fence-breaking"** approaches to development and a lot of **experimentation**.
- **Free market policies** should not be and were not confused with the objectives of development. They **are instruments or tools**.
- This general framework and the interventions that emerged from it were far from error-free. But characterized by the fact that **"mistakes" were promptly reversed**.
- Much more attention paid to **pacing and sequencing of reforms** and the shocks that might occur as a result than in other places.

Development strategies in the future

- A potential new policy would have included more explicit recognition of the role of the international political economy and have more emphasis on the potential sources of comparative advantage and on the role of government in exploiting them. And what about climate change?

BUT

- We live in an increasingly digitalized world and global trade in goods is declining (measured as a fraction of global GDP) as we are currently seeing significant transformations of production (increasing localization).
  - How does this square with "Beijing Consensus" policies trying to generate an international expansionist psychology in the business community.
- What does this mean for lower-income countries?
  - Comparative advantages in labor-intensive manufacturing (the core of the "Asian development model") will decline and steadily lose its power as a growth engine.
  - Development strategies will have to change. But how?